REGULATORY COMPLIANCE CIRCULAR

Circular 2025/02 — Enhanced Anti-Money Laundering and Counter-Terrorist Financing Framework

Reference:	FRA/CIR/2025/002	**Issue Date:**	20 February 2025
Effective Date:	01 June 2025	**Response Deadline:**	30 April 2025
Issuing Authority:	Financial Regulatory Authority	**Classification:**	MANDATORY

1. Background

In response to the findings of the 2024 Mutual Evaluation Report and updated FATF Recommendations, the Authority is issuing this circular to strengthen Anti-Money Laundering (AML) and Counter-Terrorist Financing (CTF) obligations for all regulated entities. These changes take effect on 1 June 2025 and represent a significant uplift in compliance requirements.

2. Enhanced Customer Due Diligence (ECDD)

With effect from 1 June 2025, firms must apply Enhanced Customer Due Diligence measures to ALL customers classified as Politically Exposed Persons (PEPs), regardless of whether they are domestic or foreign PEPs. ECDD must include: (a) Senior management approval for onboarding; (b) Source of wealth and source of funds verification; (c) Enhanced ongoing monitoring with quarterly transaction reviews; (d) Annual re-certification of PEP status.

3. Transaction Monitoring Thresholds

Firms must update their transaction monitoring systems to flag all cash transactions exceeding USD 5,000 (reduced from USD 10,000). Cross-border wire transfers exceeding USD 1,000 must be subject to enhanced scrutiny. Firms must file Suspicious Activity Reports (SARs) within 24 hours of identifying suspicious activity, reduced from the previous 3-business-day requirement.

4. Technology and Systems Requirements

By 30 April 2025, firms must certify that their transaction monitoring systems have been updated to reflect the new thresholds. Firms using third-party AML solutions must obtain written confirmation from their technology vendors that updates will be deployed before the effective date. The Authority will conduct technology assessments of a sample of firms in Q3 2025.

5. Training Requirements

All staff in client-facing roles, compliance, and senior management must complete updated AML/CTF training by 31 May 2025. Training records must be retained for 7 years and made available to the Authority upon request. The Authority will publish an approved training framework by 1 March 2025.